WHAT THE FTX? REGULATE CRYPTO LIKE IT'S THE 19TH CENTURY

The collapse of the crypto-exchange FTX this week has reignited comparisons of the digital asset world to the Wild West, due in part to the industry's reasonably light regulation, and the freedom provided players to experiment with digital assets, i.e. creating new currencies, exchanges, crypto services, etc. And though some may enjoy a moniker boasting images of Hollywood gun-slinging cowboys and sheriffs, there's a reason the lawlessness of the Wild West was often set against a barren wasteland devoid of much economic activity beyond a small town. It is difficult to generate long-term economic growth in highly volatile and unstable conditions. A regulation-less, Wild West context, provides little protection for the regular townsfolk who keep the town alive (retail consumers), leaving them susceptible to the gunfights of the towns major players: cowboys and sheriffs. If there's no regulation in place to ensure industry major players (i.e. Terraform, FTX, etc), can perform the responsibilities expected of them then there will be little reason for the townsfolk to stay in town. Setting this metaphor aside, the freedom provided by a lightly-regulated industry can provide opportunities to strike gold and get-rich-quick, but it also comes with the significant hazards and volatility we've seen on full display this week. The ongoing instability of the crypto market presents a serious threat to long-term retail investment and the crypto market's viability as a whole. In order to ensure the market's long-term longevity, it is critical that government introduce industry-informed regulationand a centralized backstop to help stabilize the industry. For inspiration, we can look to regulations introduced to govern the modern banking industry prior to the mid-20th century.

The current cryptosphere draws interesting parallels to the North American banking industry of the mid 19th and early 20th centuries. As Europe and America shifted between bimetallism, thegold standard and a fixed exchange rate within a short few decades, banks tried to apply existing economic principles to a rapidly shifting economic structure complicated by varying currency systems. This was met with mixed economic success, however bankruptcies among banks were frequent and would seriously disrupt the economy (similar to the FTX collapse).

Additional parallels can be drawn between the history and modern governmental response, wherein governments were unsure on whether or not to regulate the banking industry, and if so how they could best intervene. A number of economic panics, culminating in the panic of 1909, resulted in the introduction of the Federal Reserve in 1911, a long overdue centralized banking force with the capacity to stabilize and backstop the banking system following the bank runs of the Great Depression. This trade between the banks and the Federal Reserve (of regulation in exchange for a backstop), stabilized the industry; resulting in a significant reduction in bank insolvency, and improved conditions for both retail consumers and the American economy as a whole. The regulations imposed on the previously lightly-regulated banking system seriously legitimized the industry and turned it into the behemoth of capitalism it is today. If this is any indication of the stabilizing power of regulation to ensure everyone wins, then the cryptosphere could stand to draw serious lessons on the importance of regulation and a centralized backstop.

In lieu of government regulation, crypto industry leaders have taken the task of regulation

upon themselves, often via membership in SROs, pointing to a general agreement in the industry that some form of regulation is required. But the question remains: “if we allow regulation, then to what extent?” Proponents of laissez-faire markets and those looking to get-rich-quick will argue against regulation, citing the current SRO structure as sufficient. However the tanking of major industry players such as FTX and Terraform are all symptoms of an unstable system with a shaky foundation. Crypto enthusiasts and early adopters may find this difficult to imagine, but crypto’s ongoing instability dissuades mainstream consumers from investing, as they instead prioritize the more tried-and-tested stock market for their bullish investments. Signals of instability, like the events of this week, heighten consumer hesitation and undoubtedly keep significant retail investment on the outskirts of the market. If we’d like to pull these retail consumers into the market, it is essential they be persuaded that it is safe to do so, and this can only occur if the market is in fact stable and regulated.

It remains unclear whether Binance’s failed purchase of FTX was a deliberate attempt to sink FTX or a genuine indication of concerning behaviour at FTX; however the greater lesson that can be drawn for the industry-at-large lies within a particular sentence of the Binance statement:“Every time a major player in an industry fails, retail consumers will suffer.” If we’re to protect both the retail consumer and major players, then we must mirror the regulatory environment that stabilized the foundling modern banking industry. By stabilizing the cryptosphere through regulation and a centralized backstop that is government-backed we can avoid the next FTX collapse, and simultaneously open the floodgates to a sea of retail investment. Only in this way can we move away from the Wild West and towards a stable system where everyone wins.